

Who decides?

We do not have an infinite supply of resources such as land and labor. The problem is that they can be used to produce different things so we have to decide how best to use them to meet our needs and wants. In addition to this allocation of resources, there is the question of who should get the things that are produced, how the goods and services should be distributed. Finding a solution to the “economic problem” of matching resources with needs and wants is important to the well-being of every society. Because governments have the responsibility of ensuring the welfare of their people, perhaps they should make the decisions about how resources are allocated?

**PERHAPS A DAY MIGHT COME WHEN THERE
WOULD BE ENOUGH TO GO ROUND,
AND WHEN PROSPERITY COULD ENTER INTO THE
ENJOYMENT OF OUR LABORS.**

JOHN MAYNARD KEYNES

Smith's solution

An 18th-century Scottish economist, Adam Smith (see [Keeping up with CURRENCY](#)), argued that while this decision should be made for the good of society as a whole, it could best be made by individuals acting in their own interests. Although the idea seems illogical, Smith explained that it is the way that goods and services are bought and sold that determines how resources are allocated. In a market, whenever things are bought and sold, the individual traders and customers do not think about what is best for society as a whole, but just about what is good for themselves. Customers go out to buy what they need or want to satisfy their self-interest. Suppliers sell